INNOVATION, INCUBATION AND ENTREPRENEURSHIP

Innovation:

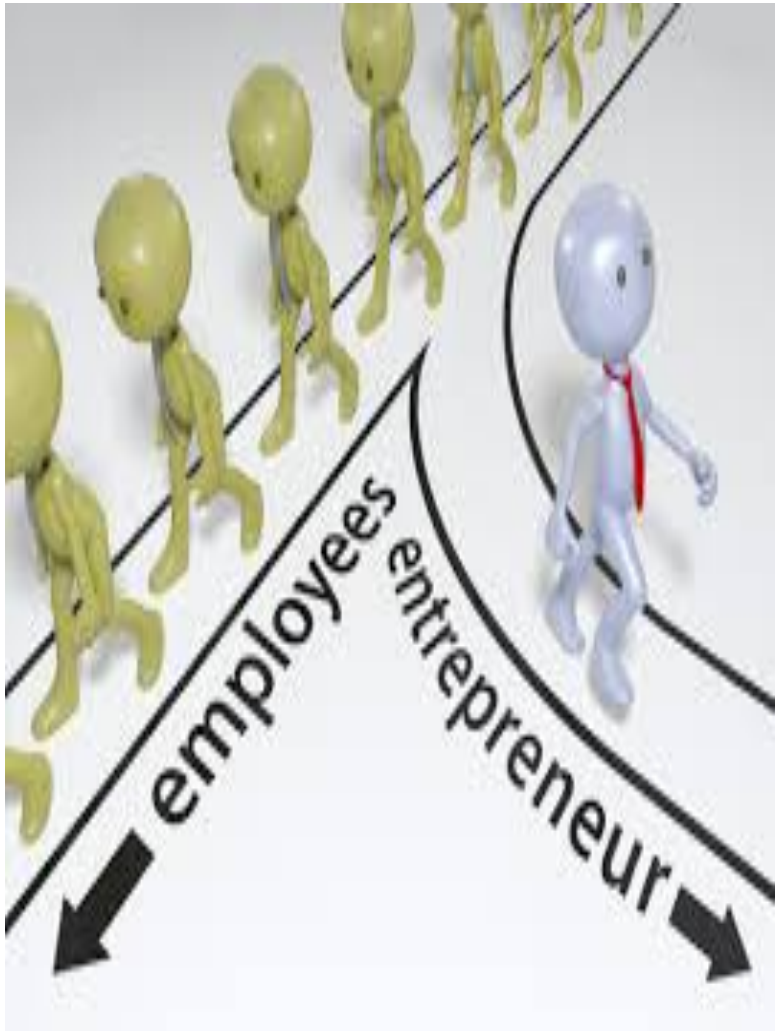
Introducing a **new idea, method, product, or improvement that creates value.** It is about doing something **better, faster, or differently than before.**

Incubation:

The **process of supporting new business ideas or startups** during their early stages. **Incubation centers provide guidance, mentoring, funding support, workspace, and training.**

Entrepreneurship:

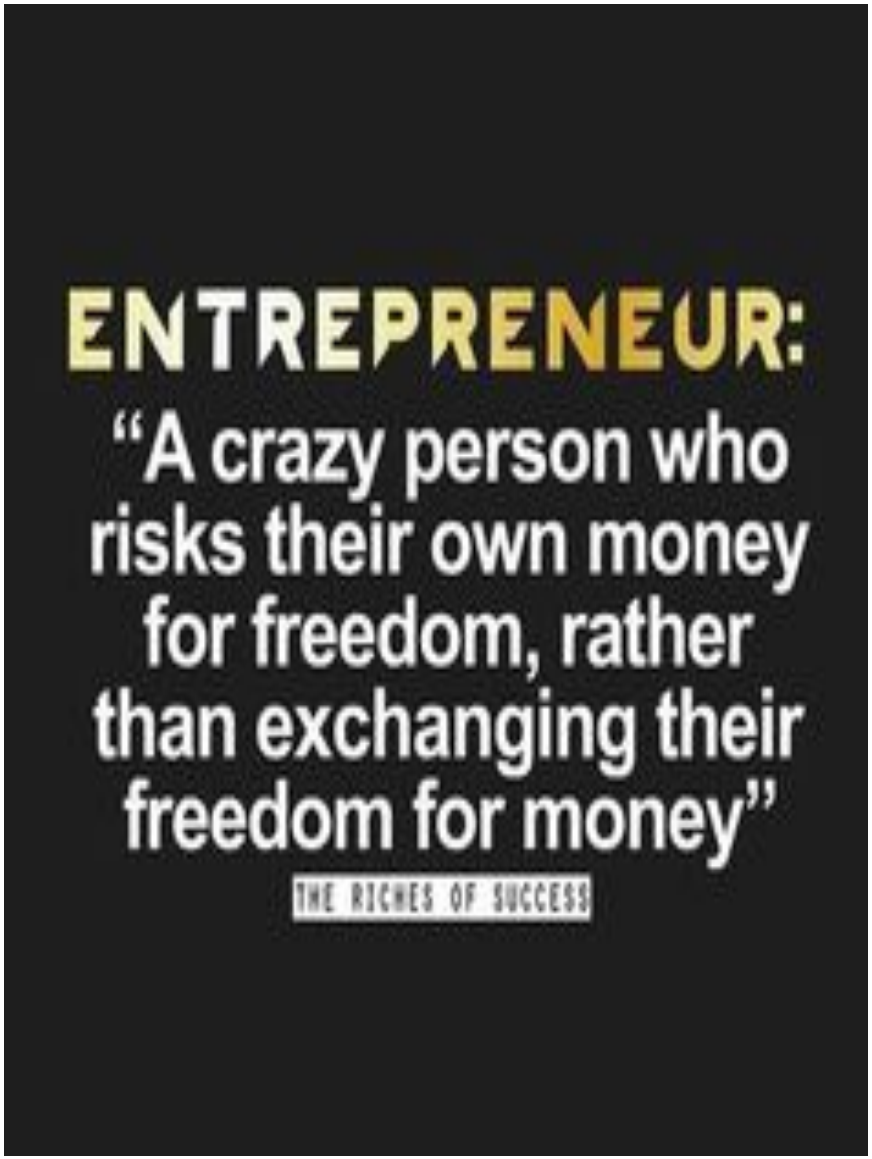
The **ability and willingness** to **start, manage, and grow a business**, **taking risks to earn profit** and create value.



If You have confidence on own strength then you become entrepreneur,

But other have confidence on your strength then you become CEO.

INNOVATION
BUSINESS
KNOWLEDGE
Entrepreneur
RISK TOLERANCE
TEAM
ASSERTIVENESS
LEADERSHIP


ENTREPRENEUR:
"A crazy person who risks their own money for freedom, rather than exchanging their freedom for money"
THE RICHES OF SUCCESS

CONCEPT

Enterprise

- Is an **already formed business organization** that propose some goods or services, etc.

Entrepreneur

- Is **a person who establishes and manages the enterprise**. He/she is often the founder of the business.

Entrepreneurship

- Is the **process of establishing new business enterprise** along with the capacity to **identify the opportunities and threats** and to **undertake all the risks to gain profits in results**.

CONCEPT

- It was the beginning of 18th Century when the word was used to refer to economic aspect

- Richard Cantillon is the first one who introduced the term Entrepreneur with some economical aspect

- According to him - "Entrepreneur as an agent who buy factors of production at certain price in order to combine them to produce product with a view to selling it in uncertain price in the future" (FARMER)

- According to Knight - "Entrepreneur is the economic functionary who undertakes such responsibility of uncertainty which is not insured nor capitalized nor salaried"

- Entrepreneur earns profit by bearing uncertainty.

DEFINITION

An individual who bears the risk of operating a business in the face of uncertainty about the future conditions.	**Encyclopedia Britannica**
He is the one who innovates, and introduces something new in the economy.	**Joseph A. Schumpeter**
He shifts economic resources out of an area of lower and into an area of higher productivity and greater yield.	**J. B. Say (French economist)**
He searches for change, responds to it and exploits opportunities. Innovation is the specific tool of an entrepreneur.	**Peter F. Drucker**
He is the one who is endowed with more than average capacities in the task of organizing and coordinating the various factors of production. He is a pioneer and captain of industry.	**Francis A. Walker**
He is a critical factor in economic development and an integral part of economic transformation.	**William Diamond**

Why Should You Become an Entrepreneur?

- You will be your **own boss** and boss to other people and **make decisions that are crucial to the business' success or failure.**
- You will have the chance to **put your ideas into practice**.
- You will **make money for yourself** rather than for someone else.
- You may **participate in every aspect** of running a business and learn and gain experience in a variety of disciplines.
- You will have the **chance to work directly with your customers**.
- You will have the **personal satisfaction of creating and running a successful business.**
- You will be able to **work in a field or area that you really enjoy**.
- You will have the **chance to build retirement value** (for example, by selling the business when you retire).

Scope of Entrepreneurship?

1. Contribution to GNP and per capita income:

- Entrepreneurship contributes to economic stability by introducing new products
- Render services in the market and encouraging effective resource mobilization.
- This helps in increasing the gross national product as well as per capita income of the people in the country.
- Economic stability leads to increased institutional investment for productive activities and is a sign of economic growth.

2. Employment generation:

- Entrepreneurs are not only self-employed but also provide employment to others.
- For example, when the information technology boom occurred in India, it led to several successful entrepreneurial ventures. This provided employment to many and also led to the launch of a number of engineering colleges, development of real-estate and hospitality ventures, and infrastructural facilities.

3. Balanced regional development:

- The development of enterprises in less-developed regions promotes balanced regional development in the country.
- Entrepreneurship stimulates the distribution of wealth and income to more and more individuals (such as stakeholders) and geographical areas, thus benefiting larger sections of society.

4. Promotion of export and trade:

- Entrepreneurship promotes the country's export trade and earns foreign exchange.
- This earning can help combat the country's import dues requirements. International trade brings economic strength.

5. Improvement in the standard of living:

- Entrepreneurs bring a wide variety of products and services into the market.
- This increases competition in the market and makes it possible for people to avail of a better quality of products and services at lower and more competitive prices, resulting in an improvement of the country's overall standard of living.

6. Increased innovation:

- With the liberalization of the Indian economy, the increased competition in the domestic and international market by giving freedom to the private players has encouraged entrepreneurs to be more creative.

7. Overall development of the economy:

- Entrepreneurs create new technologies, products, processes, and services that become the next wave of new industries, and these in turn drive the economy. Entrepreneurs are change agents in society. They create wealth and value, and generate employment in society. This naturally leads to social and economic growth.

Characteristics of an Entrepreneur

- **Mental ability**

An entrepreneur can **understand situations quickly**, and **make smart decisions even under pressure**.

- **Clear objective**

They **know exactly what they want to achieve** and **work with a clear goal** instead of being confused or directionless.

- **Business secrecy**

They know what information to share and what to keep private, such as business ideas, plans, and strategies.

- **Human relation ability**

An entrepreneur can **build good relationships with employees, customers, suppliers, and investors**.

- **Communication ability**

They can convince others, and express their thoughts confidently.

- **Technical knowledge**

They **understand practical side of their business**, whether it is production or service.

- **Motivator**

An entrepreneur encourages and **inspires others, especially their team, to work better and stay positive**.

- **Self-confidence**

They **believe in themselves and their ideas,** even when others doubt them.

- **Long –term involvement**

They are **committed for the long run, not just for quick profit**. They **stay focused even during tough times.**

- **High energy level**

Entrepreneurs are **active, enthusiastic, and hardworking,** often **working long hours with passion**

- **Persistent problem solver**

They do **not give up easily**. When problems come, they **keep trying until they find a solution**.

- **Initiative**

They **take action on their own instead of waiting for instructions** or opportunities to come to them.

- **Moderate risk-taker**

They take calculated risks, not blind risks. They think carefully before making decisions.

Models of Entrepreneurship Development

Theories explain why some people become entrepreneurs and what factors motivate them to start a business.

- Psychological Model
  - David McClelland's theory
  - *Hagen's Theory of Withdrawal of Status Respect (1964)*
  - *Rotter- Internal–External Locus of Control Theory*
- Sociological Model
  - *Max Weber's Theory of Religious Beliefs*
  - *Hozelist's Sociocultural Theory*
  - *Thomas Cochran's Theory of Entrepreneurial Supply*
  - *Frank W. Young's Theory of Group Level Pattern*
- Integrated Model

1. Psychological Models

- The essence of psychological theory is an understanding of the **difference in individuals' attitudes**. **Some people see problems, while other see opportunities**.
- According to this theory, the internal attitude and ability to judge and forecast any situation lead a person to become a successful entrepreneur.
- This model says that entrepreneurs are created because of their **mindset, personality, and inner motivation.**

David McClelland's theory of Achievement motivation

- In his theory, McClelland considers entrepreneurs as people **who do things in a better way**, **make decisions in times of uncertainty** and **Strongly motivated to grow, achieve and succeed.**
- Three motives for accomplishing things:
  - **Need for Power (nP**), or the drive to influence, control and lead others at any given situation.
  - **Need for Affiliation (nAff),** or the drive for interpersonal relationship.
  - **Need for Achievement (nAch),** or the drive to excel, achieve success and perform better than before.
- All of these needs may simultaneously act on an individuals.

Hagen's Theory of Withdrawal of Status Respect (1964)

- **Everett Hagen's** concept of the entrepreneur is that of a **"creative personality"** interested in accelerating change and driven by a motivation to achieve.
- According to Hagen, entrepreneurial growth has been very **gradual and may or may not even occur in the same generation.** In his theory of withdrawal of status respect,
- Everett Hagen's argument is that **certain social changes may disrupt the stability of traditional society** and cause psychological changes in a group or in an individual.

Rotter- Internal–External Locus of Control Theory

- Professor J. D. Rotter of Ohio University in this theory **explain how people think about success and failure and what control their life outcomes.**
- **Locus of control determines** whether a **person perceives a potential goal to be attainable through one's own actions** (internal locus of control) **or through uncontrollable external factors** (external locus of control).
- **Internal locus** of control believe that **success or failure depends on their own efforts**. It comprises **self-confidence**, extreme belief in one's **own ability**, and **initiatives** taken by an individual.
- **Successful entrepreneurs have internal locus of control**. (My business success because of my planning and hard work.)
- **External locus** of control believe that **success and failure depends on luck and external environment**.(My business fails because of bad luck or government policy changes.)

- Sociological Model
  - *Max Weber's Theory of Religious Beliefs*
  - *Hozelist's Sociocultural Theory*
  - *Thomas Cochran's Theory of Entrepreneurial Supply*
  - *Frank W. Young's Theory of Group Level Pattern*

2. Sociological Model

- Social cultures to be the driving force behind entrepreneurship. Eg. In Marwari and Gujarati society business and trade are respected.
- The entrepreneur becomes a role performer in conformity with the role expectations of society.
- Such role expectations are based on religious beliefs, taboos(cultural restrictions- in some society women are restricted for business), and customs(pass on to generation).

Max Weber's Theory of Religious Beliefs

- According to Max Weber, **religious beliefs are the driving or restraining forces for entrepreneurial activity**.
- **Religious values like hard work, discipline, honesty, and saving encourage entrepreneurship.**
- Religious beliefs play a crucial role in determining the attitude of the entrepreneur towards generating or limiting profits.
- Weber took the position that entrepreneurial growth is dependent upon the ethical values (due to religion) of society.
- Capitalism thrives under the Protestant work ethic that advocates hard work, honesty, and discipline. The spirit of capitalism, coupled with the motive of profit, results in the creation of a large number of successful business enterprises.
- Weber distinguished between **two types of behavior** the **"spirit of capitalism"** and the **"adventurous spirit." The spirit of capitalism** is influenced by a **strict discipline and regular profit**, whereas the **adventurous spirit** comes from the **free force of impulse take risk, tries new ideas and enter new markets**.
- Right combination of discipline of capitalism and courage of adventure defines the successful entrepreneur.

Hozelist's Sociocultural Theory

- According to Hozelist, a specific social culture leads to growth in entrepreneurship.
- **Entrepreneurship grows when society respects business, innovation, and leadership.**
- Social sanctions(rewards and punishment by society), cultural values, and role expectations are responsible for the emergence of entrepreneurship.
- **If society rewards risk-taking and hard work, entrepreneurship grows and If society discourages failure, people avoid business.**
- Entrepreneurship grows in societies that permit variability in choice of paths of life.

Thomas Cochran's Theory of Entrepreneurial Supply

- In agreement with Hozelist, believed that the **environment in which an individual is brought up determines his entrepreneurial urge.**

- According to him, the supply of entrepreneurs in society needs to be seen with reference to prevailing child-rearing practices.

- Entrepreneurs emerge when society provides: **Education, Role models, Social acceptance and Financial support.**

- He stated that the performance of the entrepreneur might be seen in reference to his own attitudes towards an occupation.

- Values and role expectations of the particular social group to which he belongs are the most important determinants in the performance of business entrepreneurial roles.

Frank W. Young's Theory of Group Level Pattern

- Frank W. Young **explains how entrepreneurship develops in groups, not just in individuals.**
- He says **social groups, their status, and their support systems play a big role in creating entrepreneurs.**
- **Group can be reactive in two ways**: if the group **experiences low status recognition** and denial of access to important social networks, **other with the greater access.**
- **A group without anything will compete with other groups and try to acquire social recognition.**
- **Low status group will lead** to entrepreneurial behaviour **if the group has better institutional resources(education, finance).**
- **Young's model of entrepreneurship suggests the creation of supporting institutions in society, such as the education and training, family support, community support, financial institution as the determinant of entrepreneurship.**

3. Integrated Models

- In search of an integrated approach, the behaviorists tried to **synthesize psychology and sociology to explain entrepreneurship.**
- It looks at **personal qualities of a person** (psychology) and **also the social and environmental conditions** (society)
- **According to T.V. Raos, the optimal presence of the following factors, leads to the initiation of entrepreneurship.**

1. Need for motive
2. Long term involvement in thought and action to achieve the goal in entrepreneurial activity.
3. Personal(skills, knowledge and confidence), social(family support and networks) and material resources(land, labor, capital, machinery) favorable to entrepreneurial activity.
4. Suitable sociopolitical System such as government policies, infrastructure and political stability for the establishment, development, and expansion of an enterprise.

INTRODUCTION TO ENTREPRENEUR AND PROFESSIONAL MANAGERS

Functions of Entrepreneur and Manager in managing organization

- **Planning-** Entrepreneur **plans new ideas, vision, and future growth** of the business. Manager **plans day-to-day activities** to achieve set targets.
- **Organizing-** Entrepreneur creates the **basic structure of the organization**. Manager uses and **maintains the existing structure efficiently**.
- **Staffing-** Entrepreneur decides **manpower needs and key positions**. Manager **recruits, trains, and supervises** employees.
- **Directing-** Entrepreneur provides **leadership, inspiration, and motivation**. Manager gives **instructions, guidance, and supervision**.
- **Controlling-** Entrepreneur **controls performance at a strategic level**. Manager **controls daily operations and corrects deviations**.

Managers and Entrepreneurs (Similarities)

Areas of Similarity	*Differing Focus*	
	Managers	*Entrepreneurs*
To produce results	Results of today, this month, this year. [redacted]	Results of tomorrow, [redacted]
To produce results through people	Have usually to handle people oriented to day-to-day management nitty-grity and nuts and bolts type — [redacted]	Have to deal with people who can conceptualise with aggregate pespectives. — [redacted]
To take decisions	[redacted] which have a bearing on short-term and medium-term results.	[redacted] involving growth through expansion, diversification, take-overs and mergers.
To co-operate under constraints	The [redacted] i.e., those within an organisation like [redacted]	The constraints are [redacted] which lie outside an organisation like the [redacted]
To follow sound principles of management	The principles are more [redacted] planning, budgeting, reporting and information system.	The principles are with [redacted] employment, ethical advertisement practices, adherence to government policies, etc.

Managers Vs Entrepreneurs

	Manager	*Entrepreneur*
Primary Motives	[illegible]	[illegible]
Time Orientation	Respond to quotas and [illegible] horizons, [illegible]	[illegible] in view as guides. Takes action now to move the next step a long way.
[illegible]	[illegible]	[illegible]
Skills	Professional training. [illegible]	[illegible]. More business acumen than managerial or political skill. Often technically trained if in technical business. [illegible]
Courage and Destiny	Sees others in charge of his or her destiny. Can be forceful and ambitious, but may be fearful of others' ability in case of optimism.	Self-confident, optimistic, courageous.
[illegible]	[illegible]	[illegible]
Risk	Careful	Like moderate risk. Invests. heavily, but expects to succeed.
Market Research	Has market studies done to discover needs and guide product conceptualisation.	Creates needs. Creates products that often can't be tested with market research — potential customers don't yet understand them. Talks to customers and forms own opinions.

Managers Vs Entrepreneurs

Market Research	Has market studies done to discover needs and guide product conceptualisation.	Creates needs. Creates products that often can't be tested with market research — potential customers don't yet understand them. Talks to customers and forms own opinions.
Status	Cares about status symbols (corner office, etc.)	Happy sitting on an orange crate if job is getting done.
Failure and Mistakes	Strives to avoid mistakes and surprises. Postpones recognising failure.	Deals with mistakes and failures as learning experiences.
Decisions	Agrees with those in power. Delays decision until he gets a feel of what bosses want.	Follows private vision. Decisive and action-oriented.
Who they Serve	Please others.	Pleases self and customers.
Attitude Toward the system	Sees system as nurturing and protective, seeks position within it.	May rapidly advance in a system, when frustrated, reject the system and form his or her own.
Problem-solving Style	Works out problems within the system.	Escapes problems in large and formal structures by leaving and starting over his own.
Family History	Family members worked for large organisations.	Entrepreneurial small-business, professional, or agricultural background.
Relationship with Parents	Independent of mother, good relations with father, but slightly dependent.	Absent father or poor relations with father.
Socio-economic Background	Middle-class background.	Lower-class background in some early studies, middle-class in more recent ones.
Educational Level	Highly educated.	Less well educated in earlier studies, some graduate work but not Ph. D. in later ones.
Relationship with Others	Hierarchy as basic relationship.	Transactions and deal making as basic relationship.

INTRAPRENEUR

An intrapreneur is a person who creates new ideas, products, or processes within a company, but does not own the business. **They use the company's resources to innovate**.

1. **Works inside an organization.**
2. **Thinks and acts like an entrepreneur.**
3. **Takes initiative and responsibility.**
4. **Uses company's money, time, and resources.**
5. **Risk is mostly taken by the company, not by the individual.**

Comparison

Comparison of Entrepreneurs, Intrapre...

	Traditional Managers	Entrepreneurs	Intrapreneurs
Primary motives	Promotion and other tranditional corporate rewards, such as office, staff and power	Independence, opportunity to create, and money	Independence and ability to advance in the corporate rewards
Time orientation	Short-term — meeting quotas and budgets, weekly, monthly, quarterly, and the annual planning horizon	Survival and achieving 5-to 10-year growth of business	Between enrepreneurial and traditional managers, depending on urgency to meet self-imposed and corporate time tabl
Activity	Delegates and supervises more than direct involvement	Direct involvement	Direct involvement more than delegation
Risk	Careful	Moderate risk taker	Moderate risk taker
Status	Concerned about status symbols	No concern about status symbols	Not concerned about traditional status symbols — desires independence
Failure and mistakes	Tries to avoid mistakes and surprises	Deals with mistakes and failures	Attempts to hide risky projects from view until ready
Decisions	Usually agrees with those in upper management positions	Follows dream with decisions	Able to get others to agree to help achieve dream
Who serves	Others	Self and customers	Self, customers, and sponsors
Family history	Family members worked for large organisations	Entrepreneurial small-business, professional, or farm background	Entrepreneurial samll-business, professional, or farm background
Relationship with others	Hierarchy as basic relationship	Transactions and deal making as basic relationship	Transactions within hierarchy

Source: An extensively modified version of table in G. Pinchot, *Int...*

CLASSIFICATION OF ENTREPRENEURS

According to type of business

1. Business entrepreneur
2. Trading entrepreneur
3. Industrial entrepreneur
4. Corporate entrepreneur
5. Agricultural entrepreneur

According to use of technology

1. Technical entrepreneur
2. Non-technical entrepreneur
3. Professional entrepreneur

According to motivation

1. Pure entrepreneur
2. Induced entrepreneur
3. Motivated entrepreneur
4. Spontaneous entrepreneur

Classification of entrepreneurs

- **Acc. to the type of business**
  - **Business entrepreneurs**
    - A business entrepreneur is a person who starts and runs a business to earn profit by identifying customers' needs and providing goods or services. **Eg- Opening a retail shop and starting a restaurant**
  - **Trading entrepreneurs**
    - These entrepreneurs are **associated only with trading activities that is buying and selling only**. They do not engage themselves with the manufacturing work. They undertake wholesale or retail trading activities. **Eg-A mobile phone shop owner**
  - **Industrial entrepreneurs**
    - These entrepreneurs are **associated with the manufacturing process** and industrial activities. These entrepreneurs may be involved in any large scale, medium scale or small scale industries. **Eg-Cement manufacturing plant**

- **Corporate entrepreneurs**
  - A person who **works within a large company and brings new ideas, products, or processes**. These entrepreneurs promote and establish corporate empires. They are successful at initiating and running corporate companies. Eg-An **employee at Tata, Infosys, Google launching a new product**
- **Agricultural entrepreneurs**
  - Agricultural entrepreneurs are the entrepreneurs involved in agricultural and allied activities. **A person who uses farming and agriculture in an innovative and business-oriented way**. They can also be **engaged in horticulture, animal husbandry, dairy farming etc.**

Classification of entrepreneurs

- **Acc. to the use of technology**
  - **Technical entrepreneurs**
    - **These entrepreneurs are technically sound and trained**. They **use their technical skills in establishing and improving the manufacturing units with latest level of technology.** They highly influence the production technique.
    - **Eg-A software engineer who starts a software company or app startup**
  - **Non-technical entrepreneurs**
    - These entrepreneurs are **not much concerned with the technical aspects** of the entrepreneurship. They **focus on evolving alternative strategies of marketing and distribution in order to promote their business**.
    - **Eg- A person opening a supermarket**

- **Professional entrepreneurs**

-A professional entrepreneur is a person who starts a business using their professional knowledge, skills, or expertise. They usually belong to fields like law, medicine, engineering, accounting, architecture, consulting, IT, or design.

-They are not traditional traders or manufacturers — instead, they sell specialized services.

-Eg-A chartered accountant opening a CA firm

Classification of entrepreneurs

- **Acc. to motivation**
  - **Pure entrepreneurs**
    - A pure **entrepreneur starts a business out of passion and inner desire**, not because of pressure, government support, or compulsion.
    - **Eg-A person who loves baking starts a bakery because it is their passion, not because they have no job or got a subsidy.**
  - **Spontaneous entrepreneurs**
    - A spontaneous entrepreneur starts a business naturally and willingly, without any pressure or external support, because they see an opportunity**. He is opportunity-driven and acts quickly on ideas.**
    - **Eg-Someone notices high demand for organic products and immediately starts an organic food store on their own.**

- **Induced entrepreneurs**
  - An induced **entrepreneur starts a business because of external support or encouragement like government schemes, subsidies, tax benefits, or training programs.** Motivation comes from outside in which government policies play a big role.
  - Eg- **A person opens a small manufacturing unit after getting a government loan, subsidy**, and training under a startup scheme.
- **Motivated entrepreneur**
  - **A motivated entrepreneur starts a business to achieve personal goals** like earning more **money, gaining social status**, or becoming successful. **May be influenced by success stories.**
  - Eg- **A salaried employee starts an online business after seeing others become financially successful**.

- **Acc. to growth**
  - **Growth entrepreneurs**

Growth entrepreneurs start businesses in industries that are expected to grow steadily over time. Their aim is continuous and stable growth, not overnight success.

Ex: A person starts a software services company and gradually expands by adding more clients, employees, and branches over the years.

  - **Super growth entrepreneurs**

Super growth entrepreneurs achieve very fast and very high growth in a short time. Their businesses grow rapidly in size, profit, and market value.

Business shows enormous growth, Strong profitability, Good liquidity, effective use of borrowed funds to expand and often supported by investors or venture capital.

Ex: Founders of startups like Flipkart, Zomato, or Paytm—their companies grew extremely fast in revenue, customers, and valuation.

Classification of entrepreneurs

- **Acc. to stages of development**
  - **First-generation entrepreneurs**
    - These entrepreneurs had **not inherited any family business**. They had established their own enterprises. They are **self-made and lack any previous entrepreneurial experiences.**
  - **Second-generation entrepreneurs**
    - **Second generation entrepreneur are those entrepreneurs who inherit the family business firms** and pass it from one generation to another.

- **Modern entrepreneurs**

Starts a business by understanding current market trends. He **changes products or services according to customer needs**, Uses **new technology**, i**nnovation**, and **ideas**. **Focuses on growth, creativity, and adaptability.**

Ex: A person **starting an online clothing store**, food delivery app, or digital marketing agency based on today's demand.

- **Classical entrepreneurs**

Focuses mainly on earning profit. Runs the business in a traditional way. He is **satisfied with stable income and survival** also May or may not focus on growth or expansion.

Ex: A **small grocery shop owner** or traditional textile trader who runs the same business for many years without major changes.

Classification of entrepreneurs

- **Others**
  - **Social entrepreneurs**
  - **Women entrepreneurs**
  - **Innovating entrepreneurs**
  - **Adaptive/Imitating entrepreneurs**
  - **Fabian entrepreneurs**
  - **Drone entrepreneurs**
  - **Aspiring entrepreneurs**

- **Family-Business Entrepreneur**
- **Lifestyle entrepreneurs**
- **E- entrepreneurs**
- **Mompreneures**
- **Professor entrepreneurs**
- **IT Entrepreneurs**
- **Intrapreneur**

- **Social entrepreneur**

Entrepreneurs are innovative highly motivated and creative thinkers. When these attributes are combined with the drive to solve social problems, a ‘social entrepreneur’ is born. Thus, **social entrepreneurs are individuals with innovative solutions to society’s most pressing social problems.**

Eg: SELCO India – Provides affordable solar energy to rural areas.

- **Women entrepreneurs**
  - Women entrepreneurs may be defined as the women or a group of women who initiate, organize and operate a business enterprise.
  - As the name of this type of entrepreneur suggests, it involves women at the forefront of entrepreneurship. Shri Mahila Griha Udyog Lijjat Papad is one such organization. They pride themselves in being a women's organization —of the women, by the women, and for the women. It was started in 1959 with seven lady members with a borrowed sum of Rs.80 at Girgaum in Mumbai. Another typical example of this type of entrepreneur is Kiran Majumdar Shaw, whose entrepreneurial endeavour has been detailed out in a caselet.

- **Innovating entrepreneurs**
  - He is one who introduces new goods, new method of production, discovers new market and reorganizes the enterprise. It is important to note that such entrepreneurs can work only when a certain level of development is already achieved and people look forward to change and improvement.
  - **Eg: Paytm – Brought digital payments to common people.**

- **Adaptive/Imitating entrepreneurs**
  - There are characterized by readiness to adopt successful innovations. Imitative entrepreneurs do not innovate the changes themselves; they only imitate techniques and technology innovated by others.
  - Such types of entrepreneurs are particularly suitable for the under-developed regions for bringing a mushroom drive of imitation of new combinations of factors of production already available in developed regions.
  - **Eg: Flipkart – Adapted the Amazon-like model for India.**

- **Fabian entrepreneurs**
  - They are characterized by very great caution in experimenting any change in their enterprise. They imitate only when it becomes perfectly clear that failure to do so would result in a loss of the relative position in the enterprise.
  - **They are very cautious and adopt changes slowly, only when necessary.**
  - **Eg: Many traditional textile or family manufacturing businesses that moved to online selling only after competition increased.**
- **Drone entrepreneurs**
  - **These are characterized by a refusal to adopt opportunities** to make changes in production formula even at the cost of severely reduced returns relative to other like producers. Such entrepreneurs may ever suffer losses but they are not ready to make changes in their existing production methods.
- **Aspiring entrepreneurs**

-An aspiring entrepreneur is a person who wants to start their own business and is preparing for it, but has not started yet.

-Eg: A person doing market research for a future business idea

- **Family-Business Entrepreneur**
  - Family-business entrepreneurs are the followers of family tradition role models. A typical example is that of Aditya Vikram Birla (1944-1995), who created about 75 factories for his business group in a career span of 25 years. Aditya Birla was the son of industrialist Basant Kumar Birla (popularly known as BK). His group is now known after him (Aditya Birla Group) and managed by his son Kumar Mangalam Birla.
- **Lifestyle entrepreneurs**
  - These entrepreneurs take business as an integral part of their life. Usually, the family enterprise and business.
  - **They start businesses to maintain a desired lifestyle, not for big growth.**
  - **Eg: Travel vloggers**

- **Opportunist entrepreneurs**

-As the name suggests, this kind of entrepreneur is an individual who has identified a technology-based opportunity and, while initiating and managing a small technology-based venture, either has little or no technical experience or whose previous occupational experience was within non-technical organizations.

-For example, Azim Hasham Premji inherited Wipro from his father, who was into oil business. Later, Premji realized the potential of information technology and ventured into this business. Rest is history as Wipro is today known as one of India's IT powerhouses.

- **E- entrepreneurs**

-These are people who start and run businesses online. They use the internet to sell products or services.

-Ex: Someone running an online clothing store, digital marketing agency, or a YouTube channel that earns money.

- **Mompreneures**

-These are mothers who run their own businesses while taking care of their family. They choose flexible work so they can balance home and business.

-Ex: A mother selling homemade food, running an online boutique, or teaching online classes from home.

- **Professor entrepreneurs**

-These are teachers or professors who start businesses using their knowledge and expertise.

Ex: A professor starting a coaching institute, publishing online courses, or doing consultancy work.

- **IT Entrepreneurs**

-These are entrepreneurs who start businesses in the technology or IT field.

Ex: Someone launching a software company, mobile app, website development firm, or AI startup.

- **Intrapreneur**

-An intrapreneur works inside an existing company, not their own business. They think and act like an entrepreneur but use the company's resources.

Ex: An employee who creates a new product or idea for their company and helps it grow.

Women Entrepreneurs

- Of the 58.5 million entrepreneurs in India, nearly 14% are women.
- Indian women-owned businesses provide employment for 13.45 million people.
- About 1/3 of Indian women entrepreneurs work in the agriculture sector, after that in manufacturing and retail trade.
- In 2017, only 2% of startup funding went to a woman founder.
- The top 10 fund raises of 2017 added up to $8.5 billion. The top 10 fund raises by a female-led startup accounted for only $136 million.
- It is observed that Women entrepreneurs in India contribute a lot to jobs and business, but their number is still low, and they receive much less funding compared to men.

Women Entrepreneurs

- A 2015 study by McKinsey Global Institute shows India's GDP could rise by between 16-60% by 2025 if women participated equally with men in the economy. Projections show that this could mean a whopping $2.9 trillion added to the economy. Actually, grew upto 40% in 2023-24.
- 30% of India's tech workforce is female. Although, 51% of entry-level jobs in India's IT industries are women, indicating that women are leaving at junior and mid-levels.
- Radhika Aggarwal e-commerce marketplace ShopClues in 2011 made history as India’s first female co-founder of a billion-dollar company.

- The low literacy rate (40%), low work participation rate (28%) and low urban population share (10%) of women as compared to 60%, 52%, and 18% respectively of their male counterparts well confirm their disadvantageous position in the society.

Segments of Women Entrepreneurs

- **<u>Self-help groups</u>**

-These are groups of women **who come together to support each other financially**. **They get loans, training, and guidance from microfinance institutions or banks**. Mostly **run small businesses like handicrafts**, food products, etc.

-**Main purpose is Self-employment and financial independence**.

- **<u>Grassroot Entrepreneurs</u>**

-These women **start businesses mainly to support their family income**. They work to improve their children's education and future. **Businesses are usually very small and local. Examples: tailors, flower sellers.**

-Main **purpose is Survival and family welfare**.

- **<u>Mid-rung Entrepreneurs</u>**

-These women are **more ambitious and growth-oriented**. They **want to build a reputation, become well-known, and improve product quality.** They enjoy creativity and innovation in their work**. Businesses are usually medium-scale**.

- **Purpose is Recognition, creativity, and business growth.**

- **<u>Upper crust</u>**

-These women **come from high social and economic backgrounds**. They are **well-educated** and confident**. Have better access to money, networks, and technology**. **Run large or professional businesses like export houses or pharmaceutical trading firms.**

-**Purpose is Expansion, profit, and leadership in business**.

Psycho-social Barrier

- Poor self-image of women
- Inadequate motivation
- Discriminating treatment
- Faulty socialization
- Role conflict
- Cultural values
- Lack of courage and self-confidence
- Inadequate encouragement
- Lack of social acceptance
- Unjust economic, social and cultural system
- Lack of freedom of expression
- Afraid of failures and criticism
- Susceptible to negative attitudes
- Non-persistent attitude
- Low dignity of labor
- Lacking in leadership qualities

Sickness in small scale industries

- A **sick industrial unit** may be defined as one when it **fails to generate surplus on a continuous basis** and **depend on frequent infusion of external funds for its survival** .
- According to the **Reserve Bank of India (RBI),** a small-scale unit is sick, **if It suffered cash loss in the previous year, and It is likely to suffer cash loss in the current year also, and Because of continuous losses, 50% or more of its net worth (owner's capital) has been wiped out**.

Causes of sickness
A. Internal Causes

1) Planning
   1) Technical Feasibility
      1) Inadequate technical know-how
      2) Location disadvantage
      3) Outdated production process
   2) Economic viability
      1) High cost of inputs
      2) Break-even point too high
      3) Uneconomic size of project
      4) Under-estimation of financial requirements
      5) Unduly large investments in fixed assets

2) Implementation
   1) Cost overruns resulting from delays in getting government licenses and approvals etc.
   2) Inadequate mobilization of finance (fails to arrange sufficient funds)
3) Production
   1) Production management
      - Inappropriate product-mix (product not match market demand or too much varieties of product)
      - Poor quality control
      - Poor capacity utilization
      - High cost of production
      - Inadequate maintenance and replacement

4) Labor management

- High wage structure
- Inefficient handling of labor problems
- Excessive manpower
- Poor labor relations
- Poor labor productivity

5) Marketing management

- Poor sales realization
- Defective pricing policy
- Weak market organization (less advertisement or customers are unaware about product)
- Lack of market Feedback and market research

6) Financial management

- Faulty costing (cost of production is not properly calculated)
- Poor resource management
- Liberal dividend policy
- General financial indiscipline(no proper budgeting or proper records are maintained)
- Poor liquidity
- Deficiency of funds
- Poor cash control
- No plan “b”
- Delaying debt
- Borrowing blind
- Ignoring lender like SIDBI(Small Industries Development Bank of India)

7) Administrative management

- Over centralization
- Lack of professionalism
- Lack of feedback to management
- Lack of controls
- Lack of timely diversification (using new platforms, product divarication, technology and strategy adoption)
- Excessive expenditure on R&D
- Incompetent management
- Dishonest management

Causes of sickness
B. External Causes

- **Infrastructure bottlenecks**
  - Non-availability/irregular supply of raw material
  - Chronic power shortage
  - Transport bottlenecks
- **Financial bottlenecks**
  - Non-availability of adequate finance
- **Government controls and policies**
  - Government price controls
  - Fiscal duties
  - Changes in government policies

- **Market constraints**
  - Market Saturation (No many customers left to serve EG- every one is having mobile phones)
  - Revolutionary technological advancement
- **Extraneous factors**
  - Natural calamities
  - Political situation (domestic as well as international)
  - War
  - Sympathetic strikes

(a) **Delay in land acquisition** and building construction

(b) **Delay in obtaining financial assistance** from public financial institutions

(c) **Delayed supply of machinery** by the manufacturers

(d) **Problems related to recruitment** of technical and managerial staff

(e) **Delay on the part of the Government** in sanctioning licenses, permits, etc.

(f) **Shortages of basic inputs like power and coal**. Other causes include

(g) **Cost over-runs** due to factors beyond the control of management

(h) **Lack of demand for products** or shift of demand to products of rival firms due to delays in project implementation

(i) **Unsatisfactory performance by collaborators**—financial and technical

(j) **Large changes in the scale of operation and optimum product mix in the long run** and, last but not the least

(k) **Changes in the policy of the Government** relating to movement of goods from one place to another within the country

Remedial Mechanism

- **Government Policy:**
- A number of measures have been taken to tackle the problem of industrial sickness. **The importance of detection of sickness at the early stage has been emphasized by the RBI.**
- The **policy framework in respect of measures to deal with the problem of industrial sickness has been laid down** in the guidelines issued **on October 1981 (which were subsequently modified in February 1982)** for **guidance of administrative ministries of the Central Government, State Governments and financial institutions.**

The salient features of these guidelines are the following:

➢ **Role of Government Ministries**

- Government ministries will **keep a close watch on industries that are becoming sick.**
- They will **coordinate actions to revive such sick units**. (coordinate with banks and other institution)
- **If many units in a particular industry are facing problems**, the government may **form special committees** to deal with that industry. **Can provide policy support, subsidies and etc.**

➢ **Role of Financial Institutions**

- **Banks improve their monitoring systems to spot financial trouble early** (missed payments, falling sales, rising losses).
- They will **regularly collect reports from the companies they have funded. (**profit and loss statement, cashflow and etc)
- **Directors appointed by banks on company boards will also send regular updates about the company's working, decisions, and financial health.**
- All this **information will be examined by IDBI** (Industrial Development Bank of India).
- **IDBI will then share its findings with the concerned banks and the government so timely action can be taken such as financial support, restructuring loans, or revival plans.**

1. Taking over management if sickness increases

- If a company's financial condition getting worse, **banks and financial institutions may take responsibility for managing the company.**
- They **will do this only if they believe the company can be made healthy again.**
- The **Ministry of Finance will give clear rules on how banks should manage such sick companies.**

2. If revival is not possible

- If banks and financial institutions fail to stop the sickness or cannot revive the sick unit, then **they will try to recover their unpaid loans (dues) by following normal banking rules.**
- **Before taking recovery action, banks must inform the Government.**
- The Government will then decide:
- whether the company should be nationalized (taken over by the government), or
- whether other options (like workers' participation in management) can help revive the company.

Concessions:

- The **Government has also provided certain concessions to assist revival** of sick units **without direct intervention**.
- For example, the Government has amended the Income-tax Act in 1977 by addition of Section 72A by which **tax benefit can be given to healthy units when they take over the sick units by amalgamation(merger), with a view to reviving them.**
- The **tax benefit is in the form of carry forward of the business losses** and **unprovided depreciation** of the sick companies by the healthy companies after amalgamation.
- A **scheme for provisions of margin money** to sick units in the small-scale sector **at soft terms to enable them to obtain necessary funds from banks** and financial institutions to implement their revival **scheme has been introduced from January 1, 1982.**
- Moreover, **financial assistance in the form of long-term equity up to Rs. 15 lakh to units with a project cost not exceeding Rs. 10 lakhs at a nominal service charge of 1% is available** to potentially viable sick SSI **from the National Equity Fund.**

Establishment of BIFR:

- **The Central Government has set up a Board for Industrial and Financial Reconstruction (BIFR)** with **effect from 12 January 1987** in pursuance of **special provision of the Sick Industrial Companies (Special Provision) Act, 1985.**
- The role is a **major step for intervening at an early stage and detecting, preventing, as well as taking ameliorative**, remedial and such other measures which to be taken with respect to sick and potentially viable companies. Board for Industrial and Financial Reconstruction (BIFR) needs a relook in the face of a steep rise in the number of industries turning sick. BIFR was constituted to facilitate the revival of industries deemed sick. When an industry turns sick, BIFR acts as an operating agency (generally the lead financial institution having the largest loan exposure among the creditors) to devise a revival strategy proposal.

- A sick industrial company has to report its sickness to BIFR, once its accumulated losses at the end of financial year exceed 50% of the peak net worth attained during the period of 4 years immediately preceding the financial year.
- BIFR provides a forum where the agencies concerned are brought together for analysing, diagnosing and evolving a reasoned decision for revival, or otherwise of the sick industrial unit. The agencies concerned are:
  - Sick Industrial Unit
  - State Government
  - Banks and Financial Institutions
  - The concerned departments of the Central Government

- Sick Industrial Companies Act (SICA), 1985, has invested BIFR with the following powers:
  - Potential sickness has to be reported to BIFR
  - Mismanagement of industrial units by any person can be looked into by BIFR and, the BIFR may direct that person to restore the losses; and
  - BIFR can initiate changes in management, amalgamation of the sick industrial company with any other healthy company, sale or lease of a part, or whole of the industrial unit, or whole of the industrial unit, or any other preventive/ remedial measures.

Remedial Measures

- Early detection of sickness. Establishment of a proper management information system for providing early warning signals from within.
- Financial institutions and banks should initiate necessary corrective action for sick or prone to sickness units based on diagnostic studies.
- Wherever possible, attempts should be made to restore sick units to financial health even if it requires divestment of sick units.
- The setting up of BFIR appears a sound decision.
- The management of a unit that has lost net worth entirely will not be allowed to manage that unit any more, but before branding the management as a bad one, all the aspects of the case ought to be examined.

- Management responsible for mismanagement should not be allowed assistance from financial institutions even for new ventures, too, needs re-thinking.
- It is important in any scheme of reconstruction of a sick unit, all the stake-holders bear sacrifices on equitable and just basis.
- The important criterion for take-over of a sick unit by another company should be whether the company taking over the sick unit has skill, technology and finance to save it.
- There is need for a fresh look at Section 72-A of Income-tax Act to remove the inhibition caused to companies taking over sick units by insistence on the part of income-tax authorities for prior full implementation of the revival schemes before tax benefits can accrue.

- Debt-equity ratio ought to be realistic.
- Incentives should be provided to professional managers helping in reviving sick units.
- Treatment of capital-intensive units prone to sickness has to be on a different footing than tackling of sickness in industry in general.

Entrepreneurial Environment

- Political
  - Political atmosphere
  - Quality of leadership
- Economical
  - Economic policies
  - Labour
  - Trade
  - Tariffs
  - Incentives
  - Subsidies
- Social
  - Consumer
  - Labour
  - Attitude
  - Opinions
  - Motives
- Technological
  - Competition and risk
  - Efficiency
  - Productivity
  - Profitability
- Legal
  - Rules and regulations
- Cultural
  - Structure
  - Aspirations and values